

BUS33-2

Competitive Strategy

Five Forces, VRIO, generic strategies, Blue Ocean, competitive dynamics, and strategic diagnosis

Reasoning strategy against strategy under ambiguity and time pressure.

Albert School — 22 hours

Contents

1 Industry analysis with Five Forces	2
1.1 Quantifying the forces and identifying the dominant one	2
1.2 Where the framework breaks	2
2 Resource-based view and VRIO	3
3 Value chain and activity-system deconstruction	3
4 Competitive positioning	4
5 Competitive dynamics	4
6 Bridges to microeconomics and to unit economics	5
7 Strategic case methodology	6
8 Strategic failure modes	6
9 Integrated strategic diagnosis	6

1 Industry analysis with Five Forces

Five Forces is a framework for assessing the structural attractiveness of an industry — the degree to which its structure permits incumbents to earn sustained profit. It is applied quantitatively to a real sector, not recited as a checklist, and it has explicit boundary conditions.

Definition 1 The five forces that determine industry profitability:

1. **Rivalry among existing competitors** — the intensity of competition between firms already in the industry.
2. **Threat of new entrants** — how easily new firms can enter, governed by barriers to entry.
3. **Bargaining power of suppliers** — suppliers' ability to raise input prices or reduce quality.
4. **Bargaining power of buyers** — buyers' ability to force prices down or demand more.
5. **Threat of substitutes** — the availability of alternative products that meet the same need.

1.1 Quantifying the forces and identifying the dominant one

Each force is assessed against measurable indicators for the sector under study (e.g. concentration ratios and number of competitors for rivalry; capital requirements and economies of scale for entry; supplier and buyer concentration relative to the industry; the price–performance ratio of substitutes). The aim is to determine which single force most constrains profitability — the **dominant force** — because it governs where strategic effort should be directed.

1.2 Where the framework breaks

Common pitfall Five Forces assumes a well-defined industry with distinct firms, suppliers, and buyers. It breaks down in **platform, network-effect, and winner-takes-most** contexts, where value depends on the size of a user base rather than on industry structure, where the same actor can be supplier and buyer (multi-sided markets), and where increasing returns concentrate the market on one or few winners. The boundary must be stated explicitly before any entry or positioning recommendation is drawn.

Exercises

1. Conduct a quantified Five Forces analysis of a real sector, assigning each force a level supported by indicators, and identify the dominant force.
2. State explicitly where the framework breaks for that sector (platform, network-effect, winner-takes-most), then formulate an entry or positioning recommendation.

2 Resource-based view and VRIO

Where Five Forces looks outward at industry structure, the resource-based view (RBV) looks inward: a firm's competitive advantage derives from the resources and capabilities it controls. VRIO is the test of whether a given resource can sustain advantage.

Definition 2 Under the **resource-based view**, a **resource** is an asset the firm controls and a **capability** is its capacity to deploy resources to an end. Advantage comes from resources and capabilities that are valuable and hard for rivals to replicate.

Definition 3 The **VRIO** test asks four questions of a resource or capability:

- **Valuable** — does it exploit an opportunity or neutralise a threat?
- **Rare** — is it controlled by few competitors?
- **Inimitable** — is it costly for others to imitate or substitute?
- **Organised** — is the firm organised to capture its value?

A resource that is valuable, rare, inimitable, and organised is a source of **sustained** competitive advantage; failing a condition caps the advantage (no advantage, parity, temporary advantage, or unexploited potential respectively).

VRIO is used as a **durability test**: the question is not whether a resource helps today but whether the advantage it confers survives competitive pressure.

Exercises

3. Apply VRIO to a real firm: identify its central resource or capability and evaluate it against each of the four conditions.
4. Test the durability of that advantage under competitive pressure and recommend the firm's next strategic move.

3 Value chain and activity-system deconstruction

Definition 4 Porter's **value chain** decomposes a firm into the **primary activities** (inbound logistics, operations, outbound logistics, marketing and sales, service) and **support activities** (firm infrastructure, human resource management, technology development, procurement) through which it creates value, so that the source of advantage can be located in specific activities.

Definition 5 An **activity system** is the set of a firm's activities together with the fit and reinforcement between them. A system is hard to imitate not because any single activity

is unique but because the activities are mutually reinforcing: a rival must copy the whole interlocking set, not one part.

Activity-system deconstruction is performed on cases such as IKEA, Zara, and Ryanair, explaining why each system is structurally hard to imitate.

Definition 6 **Dynamic capabilities** are a firm's capacity to build, integrate, and reconfigure its resources and activities in response to a changing environment. They are distinguished from **static resource endowments**, which are the resources a firm holds at a point in time.

Exercises

5. Deconstruct the activity system of a named firm (IKEA / Zara / Ryanair style) using the value chain, and explain why the system is structurally hard to imitate.
6. Distinguish, on that firm, its dynamic capabilities from its static resource endowments.

4 Competitive positioning

Definition 7 Porter's **generic strategies** are the basic positions a firm can take:

- **Cost leadership** — being the lowest-cost producer in the industry;
- **Differentiation** — offering something buyers value as unique, at a premium;
- **Focus** — pursuing cost leadership or differentiation within a narrow segment.

A firm that pursues none clearly risks being “stuck in the middle.”

Definition 8 The **Blue Ocean canvas** (strategy canvas) plots the factors an industry competes on against the level each competitor offers, drawing a **value curve**. A blue-ocean move reshapes the curve — raising and creating some factors while reducing and eliminating others — to make competition irrelevant rather than to beat rivals on existing factors.

Definition 9 A **strategic group** is a set of firms in an industry following similar strategies along chosen dimensions (e.g. price level and breadth of range). **Strategic-group mapping** plots firms on two such dimensions; the position of a group carries implications for which rivals compete most directly and where unoccupied positions lie.

Exercises

7. Construct a competitive positioning map for a firm using Porter's generic strategies and the Blue Ocean canvas, and place the firm against its strategic group.
8. Evaluate a disruption in progress in that industry using the positioning map.

5 Competitive dynamics

Competitive dynamics treats strategy as interaction: a firm's best move depends on rivals' moves and on what each can credibly signal or commit to.

Definition 10 Core concepts of competitive dynamics:

- **Signalling** — actions or announcements that convey intentions to rivals;
- **Commitment** — an irreversible move that constrains the firm's own future options and is therefore credible to rivals;
- **Reputation** — the track record that makes a firm's signals believable;
- **Tit-for-tat** — responding to a rival's move in kind, cooperating until the rival defects and then retaliating;
- **First-mover vs fast-follower** — entering first to capture advantages versus entering after to learn from the pioneer's mistakes.

Definition 11 First-mover advantages (e.g. pre-emption, learning, switching costs) hold only under specific **conditions**; when they are absent, the **fast-follower** position is superior because the follower avoids the pioneer's costs and errors.

A competitor can rationally be **ignored** when responding would cost more than the threat it poses — for instance when the rival targets a segment the firm does not value or cannot profitably contest.

Exercises

9. Model the competitive dynamics of a named rivalry using signalling, commitment, reputation, and tit-for-tat, and assess whether the firm is better placed as first-mover or fast-follower.
10. Justify, for that rivalry, a situation in which ignoring the competitor is the optimal move.

6 Bridges to microeconomics and to unit economics

Competitive strategy is connected to the analytical layers beneath it.

Definition 12 The **market structure** of an industry (perfect competition, monopolistic competition, oligopoly, monopoly — from BUS13-4) constrains which strategies are feasible and what profits are sustainable. A strategic recommendation must be consistent with the industry's market structure.

Definition 13 **Unit economics and ROIC as strategic-health indicators:** LTV/CAC (from BUS23-2) and ROIC (from BUS23-3) measure whether an advantage actually produces returns. They serve as quantitative tests of strategic health, and **strategy logic and financial logic can conflict** on the same decision — a strategically attractive move may destroy value, and vice versa.

Exercises

11. Link a strategic recommendation to the microeconomic market structure of its industry.
12. Link the same recommendation to unit economics (LTV/CAC) and ROIC, and identify a decision on which strategy logic and financial logic conflict.

7 Strategic case methodology

The tools above are drilled through a timed case methodology rather than recited.

Definition 14 MECE (Mutually Exclusive, Collectively Exhaustive) decomposition breaks a problem into parts that do not overlap and together cover the whole.

Definition 15 An **issue tree** decomposes a central question into sub-questions, MECE at each level, until each leaf is directly answerable.

Definition 16 Hypothesis-led reasoning starts from a candidate answer and seeks the evidence that would confirm or refute it, rather than gathering all data before forming a view — making structured recommendation possible under information and time constraints.

Exercises

13. Apply MECE decomposition and an issue tree to a novel strategic problem under information and time constraints.
14. Produce a hypothesis-led, structured recommendation for that problem with its assumptions stated explicitly.

8 Strategic failure modes

Definition 17 Recurring **strategic failure modes**:

- **Imitation** — copying a rival's position without the activity system that makes it work, yielding parity at best;
- **Strategic drift** — the gradual divergence of a firm's strategy from its changing environment until it no longer fits;
- **Unjustified diversification** — entering businesses with no value-creating link to the firm's resources or activities.

Each failure mode has a corresponding **corrective move**.

These failure modes set up the S6 capstones (Tech & Platform Strategies and Strategic Allocation).

Exercises

15. Diagnose a strategic failure mode — imitation, strategic drift, or unjustified diversification — on a named case.
16. State the corrective strategic move for that case.

9 Integrated strategic diagnosis

The course integrates the preceding tools into a complete diagnosis of a real company, defended before a jury that may include an invited practitioner.

A complete strategic diagnosis integrates:

1. **external analysis** — Five Forces (with its boundary conditions) and strategic-group mapping;
2. **internal analysis** — VRIO and the value chain / activity system;
3. a **quantified, defensible recommendation**, linked to market structure and to unit-economics / ROIC indicators of strategic health.

Exercises

17. Produce a complete strategic diagnosis of a real company: external analysis (Five Forces + strategic groups) and internal analysis (VRIO + value chain).
18. Formulate a quantified, defensible recommendation and defend it before a jury.